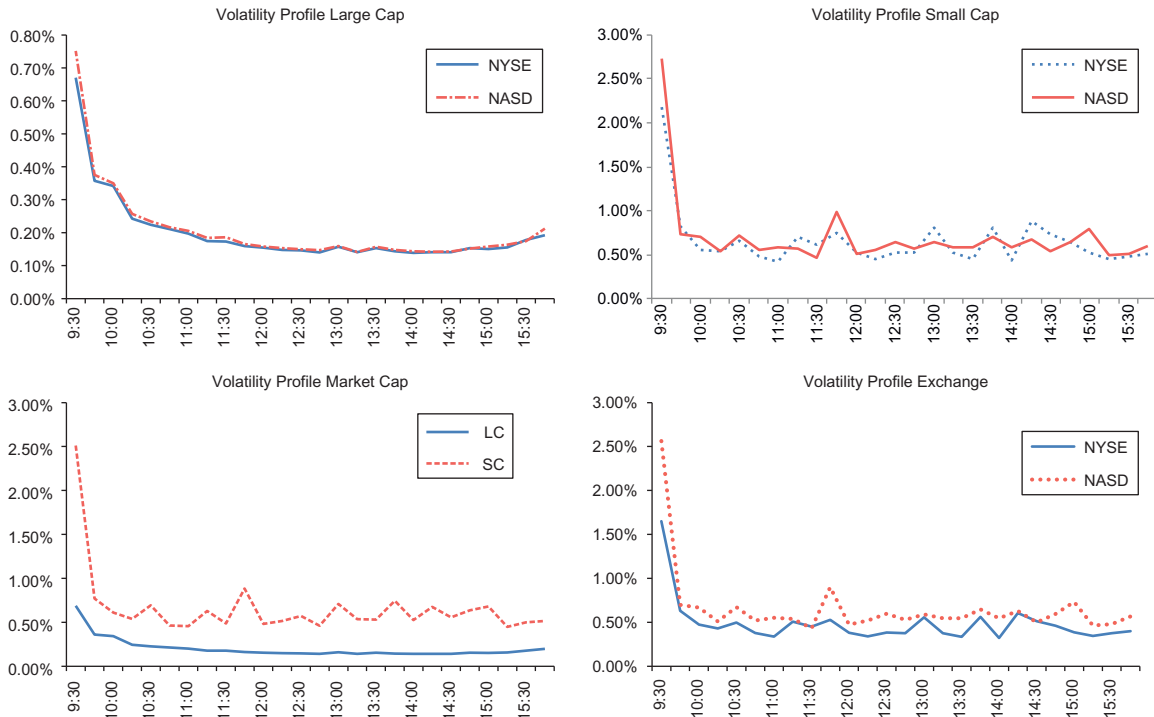




■ Figure 2.6 Intraday Volatility Profile.

relatively small amounts causes opening period volatility to be higher than it was previously as well as to persist longer than it did before. It appears that the NYSE DMM system is providing value in terms of lower opening spreads and volatility levels. The decrease in end of day volatility is due to an improved and more transparent closing auction process (Figure 2.6).

Intraday Trading Stability—Coefficient of Variation

- Measured as the average standard deviation of interval volume.
- High variation in volumes at the open. Leveling off mid-day and then decreasing into the close.
- Small cap volume variation is about $2 \times$ large cap variation.
- No difference in volume variation across NYSE and NASDAQ listed stocks after adjusting for market cap.

Coefficient of variation is a rarely used risk statistic in the industry. As any trader will confirm, intraday liquidity risk is one of the most important aspects of trading and will be one of the primary reasons for a trader to